ORDINANCE NO. 455

AN ORDINANCE AUTHORIZING THE CITY ATTORNEY TO PROCESS WORTHLESS CHECKS, ORDERS, OR DRAFTS ("HOT CHECKS") FOR HOLDERS THEREOF WHICH DO NOT EXCEED FIVE HUNDRED ($500.00) DOLLARS, DECLARING AN EMERGENCY; AND FOR OTHER PURPOSES.

WHEREAS, Rector merchants, wage earners, and other persons suffer business losses due to the problem of worthless checks ("hot checks"); and

WHEREAS, such citizens of Rector an immediate need for the expeditious collection of worthless checks at a convenient location in the City; and

WHEREAS, the Rector Municipal Court building and City Hall are such a convenient location; and

WHEREAS, Cities are authorized and empowered to prescribe penalties for all offenses in violating any ordinance of the city neither exceeding or less severe than the penalties prescribed for similar offenses against the state laws by the statutes of this state.

NOW THEREFORE BE IT ORDAINED BY THE CITY COUNCIL OF THE CITY OF RECTOR, ARKANSAS:

SECTION 1. The City Attorney is hereby authorized to implement the collection of worthless checks, orders, or drafts ("hot checks") which do not exceed $500.00 for prosecution in the Rector Municipal Court.

SECTION 2. It shall be unlawful for any person:

(a) To procure any article or thing of value, or to secure possession of any personal property to which a lien has attached or to make payment of rent or to make payment for any other purpose to make or draw or utter or deliver, with the intent to defraud any check, draft or order for the payment of money upon any in-state or out-of-state bank, person, firm, or corporation, knowing at the time of such making, drawing, or delivering, that the maker or drawer has not sufficient funds in, or on deposit with, such bank, person, or firm, or corporation for the payment of such check, draft or order in full, and all other checks, drafts, or orders upon such funds than outstanding.

(b) To make, draw, utter, or deliver or to cause or direct the making, drawing, uttering, or delivering, of any check, draft, or order for the payment of money on any in-state or out-of-state bank, person, firm, or corporation in payment of wages or salaries for personal services rendered, knowing that the maker, drawer, or pay or does not have sufficient funds in or on deposit with such bank, person, or firm, or corporation for the payment in full of such check, draft, or order as well as all other then-outstanding checks, drafts or orders upon such funds, and with no good reason to believe the check, draft, or order would be paid upon presentation to the person or bank which same was drawn.

(c) After he has made, drawn or uttered, or delivered a check, draft, or order for the payment of money upon any in-state or out-of-state bank to withdraw or cause to be withdrawn, with intent to defraud, the funds or any part thereof that have been deposited

in the bank before presentment of the check, draft or order for payment, without leaving sufficient funds in the bank for payment in full of the check, draft or order and all other checks, drafts, or orders upon the funds then outstanding.

SECTION 3. It is prima facie evidence that the maker or drawer intended to defraud and knew at the time of the making, drawing, uttering or delivering that the check, draft, or order would not be honored if:

(1) The maker or drawer had no account with the drawee at the time the check, draft, or order was made, drawn, uttered or delivered; or

(2) The check, draft, or order bears the endorsement or stamp of a collecting bank indicating that the instrument was returned because of insufficient funds to cover the value; or

(3) Payment was refused by the drawee for lack of funds, upon presentation within thirty (30) days after delivery, and the maker or drawer shall not have paid the holder the amount due, together with a service charge not to exceed twenty dollars (20.00), within ten (10) days after receiving written notice that payment was refused upon the check, draft, or order. Nothing in this section shall impair the city attorney's power to immediately file charges after the check has been returned prior to the sending of the notice as described in this section.

SECTION 4. The check, draft, or order bearing an "insufficient" stamp or "no account" stamp from the collecting bank shall be received as evidence that there were insufficient funds or no account at trial. Nothing herein shall be deemed to abrogate a defendant's right of cross-examination of banking officials provided notice of intention to cross-examine is given ten (10) days prior to the date of hearing or trial.

SECTION 5. Any person convicted of a violation of any of the provisions of this ordinance shall be punished as provided in A.C.A 5-37-301 and 5-37-306.

SECTION 6. In addition to the fines and costs provided by law, the City Attorney may collect a fee pursuant to Ark. Code Ann. 21-6-416 and Ark Code Ann. 14-43-410, from any person issuing a hot check as described in this ordinance for all prosecutions tried in Municipal Court, as follows;

(1) Five dollars ($5.00) if the face amount of the check, order, or draft does not exceed ten dollars ($10.00):

(2) Ten dollars ($10.00) if the face amount of the check, order, or draft is greater than ten dollars ($10.00) but does not exceed one hundred dollars ($100.00):

(3) Thirty dollars ($30.00) if the face amount of the check, order, or draft is greater than one hundred dollars ($100.00) but does not exceed three hundred dollars ($300.00):

(4) Fifty dollars ($50.00) if the face amount of the check, order, or draft is greater than three hundred dollars ($300.00) but does not exceed five hundred dollars ($500.00):

(5) Seventy five dollars ($75.00) if the face amount of the check, order, or draft is greater than five hundred dollars ($500.00).

Such fees shall be deposited in the Hot Check Fund and used to defray the costs of the Hot Check Program.

SECTION 7. The Municipal Court Clerk shall on a monthly basis pay over to the city attorney any monies collected under the provisions of this ordinance. Any monies paid shall be payable to "City Attorney Hot Check Fund". The city attorney shall bear a separate account and shall only expend monies under guidelines as set out in A.C.A. 21-6-416 and 14-43-410.

SECTION 8. If any provision of this ordinance or the application thereto any person or circumstance is held invalid, the invalidity shall not affect other provisions or applications of the ordinance which can be given effect without the invalid provision or application, and to this end the provisions of this act are declared to be severable.

SECTION 9. EMERGENCY. It is hereby found and determined by the Rector City Council members that the merchants, wage earners, and other persons of the City of Rector suffer financial losses due to worthless checks ("hot checks") and that this creates a burden upon those citizens and their businesses; that it is a further burden on citizens and businesses not to have a convenient forum to collect and prosecute insufficient checks; that the Rector Municipal Court and City Hall locations are convenient to many citizens, and that such a program to collect and prosecute worthless checks for the citizens of Rector should begin forthwith. Therefore, an emergency is hereby declared to exist and this Ordinance being immediately necessary for the preservation of the public peace, health and safety shall become effective on the date of its approval by the Rector City Council members.

PASSED:

ATTEST:
Kenneth R Burns
CITY CLERK

APPROVED:
Ronald E. Kemp
MAYOR

APPROVED AS TO FORM:

CITY ATTORNEY